

IN THE HIGH COURT OF KERALA AT ERNAKULAM
WRIT PETITION (CIVIL) NO. _____ OF 2024

Between:

1. Vivek Venugopalan Sudha

D5 110 KV SUB STATION , KSEB CHEVAYUR

2. SHIMNA CHANDRA N

NANDOTH HOUSE ,MADAPALLY COLLEGE PO KOZHIKODE

(Party in Person)

Versus

1. Punjab National Bank

Represented by its Branch Manager,

2. The Authorized Officer, Punjab National Bank

Petition under Article 226 of the Constitution of India

PETITIONER'S STATEMENT OF FACTS

Background:

1. The petitioner, acting as a party in person, made a successful bid in a SARFAESI auction conducted by Respondent 1 (Punjab National Bank) on **18.01.2024** for a secured asset under the SARFAESI Act.
2. As required, the petitioner deposited an **Earnest Money Deposit (EMD) of ₹4.5 lakhs** with the bank.

DRT Proceedings:

1. The borrowers challenged the auction before the Debt Recovery Tribunal (DRT), Ernakulam, under **SA/53/2024**, raising issues of notice compliance under the SARFAESI Act.
2. The DRT found that the notice was allegedly not issued 30 days before the sale, as required, and set aside the **Annexure-A5 sale notice** on **01.11.2024**.
3. The DRT allowed the bank to issue a fresh sale notice and directed closure of all interim petitions.

Procedural Validity Contention:

1. The petitioner contends that the bank did, in fact, comply with the SARFAESI Act's requirement of a 30-day notice. An additional intimation letter from the bank may have caused confusion, leading the DRT to mistakenly invalidate the auction.
 2. The petitioner has not been refunded the EMD, and procedural delays have caused financial loss and inconvenience.
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PRAYERS

In light of the facts and circumstances mentioned above, the petitioner prays that this Hon'ble Court may be pleased to:

1. **Declare the Original Auction Valid:**
 - Set aside the DRT's order dated **01.11.2024** in SA/53/2024 and declare the auction held on **18.01.2024** as valid, assuming procedural compliance by the bank.
 2. **Order Refund with Interest:**
 - Direct Respondent 1 to refund the **EMD amount of ₹4.5 lakhs with interest** at an appropriate rate from the date of deposit to the date of refund if the auction remains invalidated.
 3. **Award Compensation:**
 - Grant compensation to the petitioner for the financial loss, inconvenience, and procedural delays caused by the DRT's order and the bank's actions leading to an invalidated auction.
 4. **Initiate Disciplinary Action:**
 - Direct Respondent 1 and Respondent 2 to initiate an inquiry and disciplinary action against officers responsible for any procedural lapses under the SARFAESI Act, should any error in compliance be confirmed.
 5. **Grant Any Other Relief:**
 - Pass any other orders that this Hon'ble Court deems fit and just under the circumstances of the case.
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GROUND

1. Compliance with SARFAESI Act:

- The bank complied with the mandatory 30-day notice period under the SARFAESI Act, and the DRT's setting aside of the sale notice may be based on misinterpretation due to the additional intimation letter.

2. Procedural Prejudice and Financial Loss:

- The petitioner, as a successful bidder, has suffered financial loss and prejudice due to the DRT's decision to set aside the auction without clear evidence of non-compliance.

3. Right to Interest and Compensation:

- The petitioner's deposit of ₹4.5 lakhs has remained with the bank without interest, despite the auction's delay, causing undue financial strain.

4. Accountability for Procedural Errors:

- If procedural errors on the bank's part are confirmed, the responsible officers should be held accountable to prevent future occurrences of similar issues.

AFFIDAVIT

I, Vivek Venugopalan Sudha and 2. Shimna Chandra N, the petitioner herein, do hereby verify that the contents of the above petition are true to my knowledge and belief.

Date:

Place: Kozhikode

Signature of Petitioner

1. Vivek Venugopalan Sudha

3. Shimna Chandra N

(Party in Person)